PRIVATE EQUITY INVESTMENT CASE | EXECUTIVE SUMMARY

North Texas Senior Living Portfolio

Independent retrospective scenario analysis of Cima's completed 10-property, 359-unit North Texas acquisition | November 2, 2026

Illustrative base-case assumption / output	Value
Assumed purchase price	$48.5M, $135,000 per unit
Initial acquisition equity	$24.2M
Senior financing / coupon	60% LTV, 7.5% annual coupon
Year 5 property NOI	$5.5M
Exit cap rate / gross exit sale	8.0% / $69.3M
Base levered IRR / equity MOIC	19.2% / 2.19x
Modeled bid ceiling for 15% return	$53.1M
Minimum annual debt service coverage	1.94x

Finding

The simplified model clears its 15% hurdle in the base case, but its downside exposure is severe. Under assumed lower occupancy and rents, labor inflation and a wider exit capitalization rate, the modeled property sale value falls below the loan payoff. A conservative investment process must prioritize debt service headroom, licensed-care quality and verified property-level operating data.

Post-close analysis priority

CONDITIONAL VALUE CREATION THESIS. Since Cima already closed the acquisition, this study does not make a purchase recommendation. Replace modeled inputs with actual operating data, resident census, staffing records, clinical surveys, capital scopes and financing terms before assessing outcomes or allocating further capital.

Research integrity

The 10-property and 359-unit scale is based on Cima's September 29, 2026 announcement. All other property economics are clearly identified independent analyst assumptions. The companion Excel workbook is fully formula-driven; this is neither an appraisal nor Cima investment guidance.